

But that is not what we're talking about in this book. We're talking about a different kind of money: family money. It belongs to a family, but to no one in particular. Like all institutional money, it has people who are in charge of it. It has people who are supposed to make sure that it doesn't disappear, and other people who are supposed to make sure it grows, if possible. Those people are not supposed to spend it on themselves.

The conversion of institutional money to personal money happens all the time when it is paid out in fees, salaries, dividends, and so forth. But a custodian who takes institutional money and converts it into his personal money is a poor custodian. He may even be committing a crime . . . or a sin.

While personal money gets little rest, family money gets little exercise. It gets "old" from disuse. It sits there, growing and compounding, undisturbed. It is aimless. Almost pointless. Sometimes useless.

It is no one's asset, yet it belongs to all the family. It does no one's work, yet it is at the service of the whole bunch. It increases no one's standard of living, yet it should increase the quality of life for them all.

That makes it very different from personal money. So you must think about it differently. You must treat it differently. You must also protect it differently.

However, money is money, and many things about money are the same, no matter whose money it is. And so you will need someone in your family who is "good with money."

First, of course, you need someone who is capable of getting the kind of money a family needs. We address that issue in Chapters 3, 4, and 5. Not everyone can do it. Not everyone would want to. But if you don't have someone like that in your family—preferably at the head of it—you're not likely to have "family money."

Then, you need someone who is capable of managing and preserving it. This talent is probably a little more widespread and perhaps more easily learned. But it is not insignificant. And you need more of it. You might need only one wealth creator. But you'll need a strong manager—preserver—in every generation. And they have to want to do it. Remember, they are creating and/or preserving money not for their only benefit, but for someone else's—maybe even that of someone they will never meet. It's a lot of work. It is difficult. It is a long project with uncertain results.